UNIT 3: CONSOLIDATED STATEMENT OF FINANCIAL POSITION

SESSION 2: FORMS OF PURCHASE CONSIDERATION AND FAIR VALUATION OF NET ASSETS ACQUIRED

In this section, we look at the two main components of goodwill and bargain purchase; purchase consideration, also known as the cost of investment and the net assets acquired and how to fair value these components.

Objective

At the end of this session, you should be able to:

1. explain the different forms of payment for an investment
2. fair value the purchase considerations and pass journal entries for them
3. fair value assets acquired and liabilities assumed on acquisition date

Fair Valuation at Acquisition Date

To ensure that an accurate figure is calculated for goodwill:

- the consideration paid for a subsidiary must be accounted for at fair value
- the subsidiary's identifiable assets and liabilities acquired must be accounted for at their acquisition date fair values.

IFRS 13 Fair Value Measurement defines fair value as the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants on the measurement date.

This implies fair values are the market values of assets and liabilities, and in the absence of a market, a best estimate is used.

Forms of Purchase Consideration and their Fair Valuation

Purchase consideration is the transfer an investor makes in exchange for a stake in an entity. It represents the agreed price for an investment in another entity. When a parent acquires interest in a subsidiary, payment for the interest acquired may be effected by one or more of the following:

- ***Cash – the fair value of cash paid is simply the amount of cash***

- ***Share Exchange***: This is where a parent issues its own shares as payment for acquiring the shares in the subsidiary. The fair value of shares is their market value.

  For example: A parent has acquired 60,000 shares in the subsidiary by issuing 5 of its own shares for every three shares in the subsidiary. The market price of the parent's shares at the date of acquisition was GH¢4.00, The cost of acquisition is (60,000 x 5/3 x GH¢4.00 = GH¢400,000.

- ***Deferred Consideration:*** Where the settlement of the purchase consideration (or part thereof) is deferred to a later date, it will give rise to a liability or equity.
  Where the deferred consideration is to issue shares in the future, it will be recorded in equity at the market value on the acquisition date. Issued equity shares are not subsequently remeasured.

  Where the parent company has obligation to pay cash in the future, it will record a liability which is equal to the deferred amount discounted to its present value using the acquirer's cost of capital.
  For example, A parent acquired 80% of the 100 million GH¢5 ordinary shares that make up the share capital of a subsidiary on 1 January 2025. It paid GH¢3 per share and agreed to pay a further GH¢160 million on 1 January 2026. The parent's cost of capital is 25%

The cost of the investment to be compared with the net assets acquired in the determination of goodwill is calculated as follows:

	GH¢' million
Cash payment (80 million x GH¢3) =	240
Deferred Consideration	
[GH¢160 million X 1/1.25]	128

	368

At 31 December 2025, the cost of acquisition will be unchanged but the interest of GH¢32 million (GH¢160 – GH¢128) or (25% of GH¢128 million) will be charged to finance costs, as unwinding of the discount on the deferred consideration. The deferred consideration at 31 December 2025 of GH¢160 million will be shown as a current liability in the consolidated statement of financial position to be settled on 1 January 2026.

- ***Contingent Consideration***: IFRS 3 (revised) requires all contingent considerations to be recognised. For example, a parent acquires 75% of the 200 million shares of a subsidiary on 1 January 2024 for a cash payment of GH¢225 million and a further payment of GH¢75 million on 1 January 2026 if the subsidiary's post-acquisition profits had exceed an agreed figure by that date. The cost of capital to the parent company is 25% per annum.

The cost of investment for the determination of goodwill is:

	GH¢'million
Cash	225
Contingent consideration ($75/1.25^2$)	48
	273
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In the consolidated statement of financial position as at 31 December 2024, the contingent liability will be presented as a liability at a value of GH¢75 million /1.25 = GH¢60 million and the unwound interest of GH¢12million (25% of GH¢48 million) will be dealt with as a finance cost.

In the 2025 consolidated financial statements, the liability will be presented at GH¢75 million and the unwound interest of GH¢15 million [25% of GH¢60 million] will be dealt with as a finance cost.

- ***Interest bearing loan***- A parent can also pay for its shares in a subsidiary by issuing interest bearing loans such as debentures, bonds/debt. The fair value of interest-bearing loan, assuming the loan pays interest at the market rate, will be the nominal values.

Fair Valuation of Net Assets Acquired.

- IFRS 3 requires that the subsidiary's assets and liabilities are recorded at their fair value for the purposes of the calculation of goodwill and production of consolidated accounts.
- Adjustments will therefore be required where the subsidiary's financial statements do not reflect the fair value of assets and liabilities.
- These adjustments may be increase in net assets or decrease in net assets and a corresponding adjustment in depreciation for depreciable assets at the reporting date.

- The recognition of assets and liabilities in the subsidiary is subject to certain rules. To qualify for recognition, assets and liabilities must meet the definitions of assets and liabilities in the IASB Conceptual Framework.

- The application of the recognition rules by the acquirer may result in recognising some assets that the acquiree (subsidiary) does not recognise in its financial statements. For example the acquirer might acquire rights in brand names or patent rights that the acquired subsidiary does not include in its financial statements.

- Many acquired businesses will contain contingent liabilities such as contingent liabilities for the settlement of legal disputes or for warranty liabilities. IFRS 3 states that contingent liabilities should be recognised at acquisition 'even if it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation.'

- The contingent liabilities should be measured at fair value at the acquisition date. (Contingent assets are not recognised). After the acquisition date, contingent liabilities should subsequently be re measured in the consolidated statement of financial position at the higher of the original amount and the amount that would be reported under the relevant standard, IAS 37. However, the contingent liabilities cannot be recognised in the entity's individual financial statements (and the rules of IAS 37 apply).

Illustration 1

Entity P acquired 100% of the equity shares of Entity S on 1 May 2025 at a cost of GH¢700,000. The Statements of Financial Position of the entities at the date of acquisition were as follows:

Statement of Financial Position as at 1 May 2025

	Entity P	Entity S
Assets	**GH¢**	**GH¢**
Non-current assets		
Property plant and equipment	500,000	350,000
Investment in S	700,000	
Current Assets		
Inventory	70,000	60,000
Other current assets	130,000	110,000
Total Assets	**1,400,000**	**520,000**
Equity and Liabilities		
Ordinary share capital	300,000	200,000
Share premium	200,000	100,000
Retained Earnings	580,000	170,000
Current liabilities	320,000	50,000
Total Equity and Liabilities	**1,400,000**	**520,000**

Additional Information:

- The fair value of the subsidiary's inventory at 1 May 2025 is estimated as GH¢52,000. The fair value of the non-current assets of the subsidiary on that date is estimated as GH¢420,000.
- The directly attributable costs of the acquisition were GH¢45,000 paid in cash. This payment has not been included in the statement of financial position for P above.
- P uses the partial goodwill method of accounting for non-controlling interests, so that NCI is valued at a proportionate share of the fair value of the net assets in S.

Required: Prepare Consolidated Statement of Financial Position of Entity P Group as at 1 May 2025.

Workings – Entity P Group

1. Structure – P = 100% No NCI. Acquisition and reporting date same – 1 May 2025.
2. Net assets in Entity S at Acquisition

	GH¢
Share capital	200,000
Share premium	100,000
Retained earnings	170,000
Fair value adjustment:	
Decrease in Inventory (60,000-52,000)	(8,000)
Increase in non-current assets (420,000-350,000)	70,000
Total Net Assets	**532,000**

3. Calculation of Goodwill

Cost of investment	700,000
Total net assets acquired	(532,000)
Goodwill at acquisition	**168,000**

4. Group Retained Earnings

Parent 100% retained earnings	580,000
Less cash paid for acquisition expenses	(45,000)
	535,000

Entity P Group
Consolidated Statement of Financial Position as at 1 May 2025

Assets	**GH¢'000**
Non-current Assets-PPE (500,000+350,000+70,000)	920,000
Goodwill (W3)	168,000
Current Assets	
Inventory (70,000+60,000-8,000)	122,000
Other current assets (130,000+110,000-45,000)	195,000
Total Assets	**1,405,000**
Equity	
Ordinary shares (GH¢ 1)	300,000
Share premium	200,000
Group Retained Earnings (W4)	535,000
Current liabilities (320,000+50,000)	370,000
Total Assets	**1,405,000**

Explanatory Note:

1. Parent acquires all shares-100% acquisition, therefore no NCI
2. Inventory and non-current assets have been fair valued; the decrease and increase are therefore included in the net assets.
3. Acquisition costs are expensed, therefore the GH¢45,000 paid is taken out retained earnings. The corresponding entry is in cash and therefore deducted from other current assets.

Illustration 2

Demmy acquires 24 million shares (80%) of the ordinary shares of WAT, by offering a share-for-share exchange of two shares for every three shares acquired in WAT, and a cash payment of GH¢1 per share payable three years later. Demmy's shares have a current market value of GH¢2. The cost of capital is 10%.

Required:

a) Calculate the cost of investment (Purchase consideration) and show the journal to record it in Demmy's accounts.

b) Show how the discount would be unwound.

Solution

a) Calculation of purchase consideration

	GH¢m
Share exchange – 2 for 3 (2/3x24m x GH¢2)	32
Deferred Consideration- GH¢1x24m=24x1/1.1^3	18
Total cost	50

Journal Entries – In the books of Demmy (Parent)

Dr. Cost of investment	GH¢50m	
Cr. Share capital (16m shares x GH¢1)		GH¢16m
Cr. Share premium (16m shares x GH¢1)		GH¢16m
Cr. Provision for deferred consideration		GH¢18m

b) The journal entry creates a provision on the date of acquisition. At the end of year one, the provision will increase to GH¢19.8m, with interest of GH¢1.8 charged to profit or loss as finance cost. At the end of the second year, the provision will increase to GH¢21.78 with interest of interest GH¢1.98 charged to profit or loss as finance cost. The provision increases to GH¢23.96, approximately GH¢24m.

Illustration 3

AGYA acquired 90% of the shares in BEGYINA on 1/1/2024 when the retained earnings were GH¢500,000. The summarized statements of the financial position of the two companies as at 31/12/2025 are as follows:

Statements of Financial Position as at 31 December 2025

	Agya	**Begyina**
	GH¢'000	**GH¢'000**
Investment in Begyina	2,000	
Other assets	1,200	1,600
Total Assets	**3,200**	**1,600**
Equity and Liabilities		
Ordinary shares (GH₵ 1)	1,300	200
Retained earnings	500	1,000
Current liabilities	1,400	400
Total Equity and Liabilities	**3,200**	**1,600**

Additional information:

- At the date of acquisition, the fair values of BEGYINA's assets were equal to their carrying value except an item of plant with a carrying value of GH¢200,000 in excess of its carrying amount. It had a remaining life of four years at that date and is depreciated on straight line basis.

Required: Prepare the consolidated financial statement of for Agya Group Ltd at 31/12/2025.

Solution
Agya Group
Consolidated Statements of Financial Position as at 31 December 2025

	GH¢'000
Goodwill (W3)	1,190
Other assets (1,200+1,600+200-80)	2,920
Total Assets	**4,110**
Equity and Liabilities	
Ordinary shares (GH₵ 1)	1,300
Group Retained Earnings (W5)	878
Non-controlling Interest (W4)	132
Current liabilities (1,400+400)	1,800
Total Equity and Liabilities	**4,110**

Explanatory Notes

1. In the above question, the reporting date is different from the acquisition date, we therefore determine the post-acquisition profit of the subsidiary and share between the parent and NCI. The PAP is calculated as net assets at reporting date less net assets at acquisition date.
2. Note that it is not always profit
3. The fair value is on a depreciable asset, as such we depreciate over its useful life of four year, and determine the accumulated depreciation for two years. Two years because the consolidation period is for two years.

Fair valuation of some assets

Item	Fair value
Marketable investments.	Current market value.
Non-marketable investments.	Estimated values that take into consideration factors such as (a) price earnings ratios (b) dividend yield (c) expected growth rates of comparable investments
Trade and other receivables.	Present values of the amounts to be received. This is normally the same as the book value. Discounting is not usually required because amounts are expected to be received within a few months.
Inventories: finished goods.	Selling price less the sum of: (a) the cost of disposal, and (b) a reasonable profit allowance for the selling effort of the acquirer based on profit for similar finished goods.
Inventories: raw materials.	Current replacement costs
Land and building.	Market value
Plant and equipment	Normally market value. Use depreciated replacement cost if market value cannot be used (e.g., because of the specialized nature of the plant and equipment or because the items are rarely sold, except as part of a continuing business).
Intangible assets	Estimated at the date of acquisition
Trade and other payable; long-term debt and other liabilities.	Present values of amounts to be disbursed in meeting the liability determined at appropriate current interest rates. For current liabilities this is normally the same as book value.